

ENIAC's BRAZIL MARKET ENTRY STRATEGY

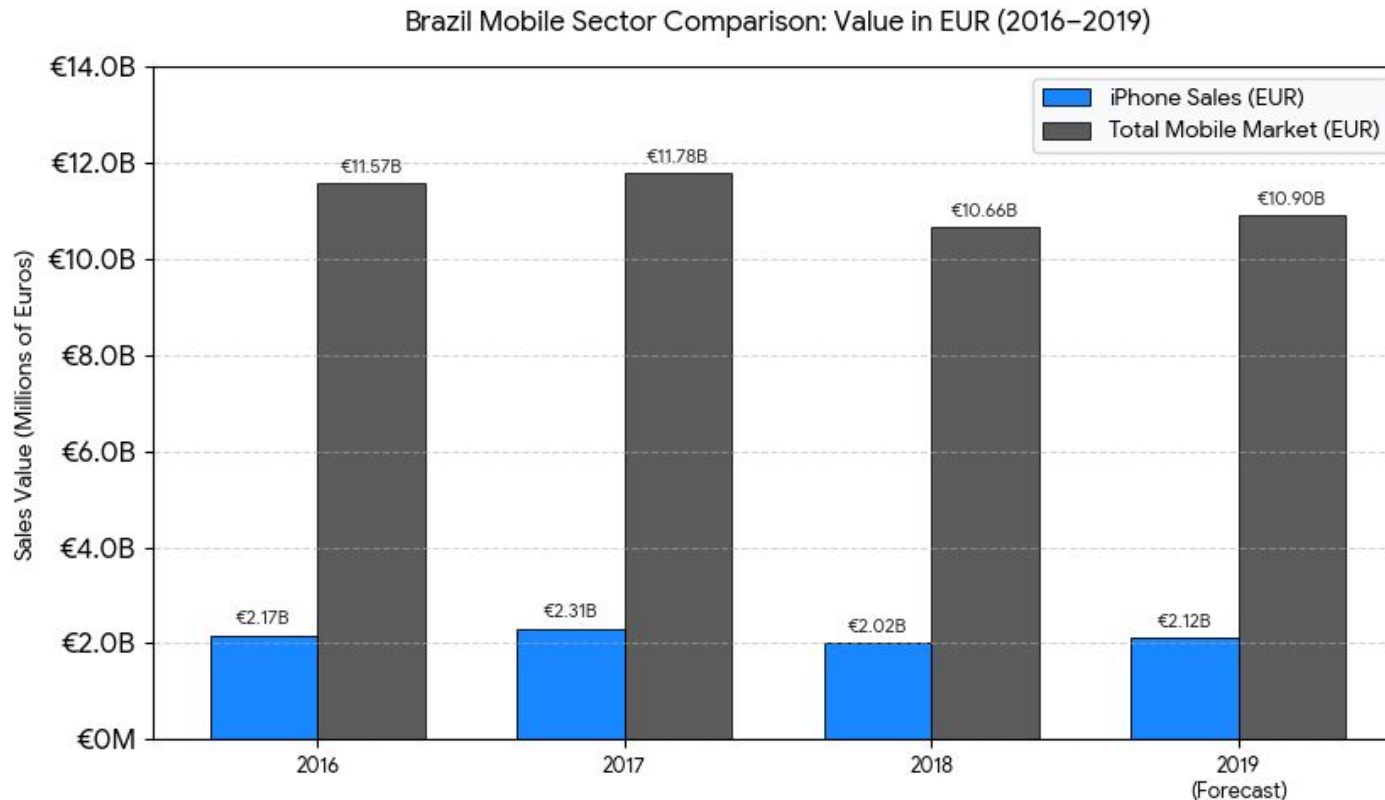
Group 4
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Entering Brazil market

RECOMMENDATION: a 1–2 year pilot via a partner targeting core categories: iPhone, iPad.

- Brazil sales of iPhones are €2B annually, with a share of ~20% of the country's mobile phone market.
- ENIAC can secure initial market entry and establish a foothold via a partnership.

MARKET OPPORTUNITY: DATA TRENDS (2016 - 2019)



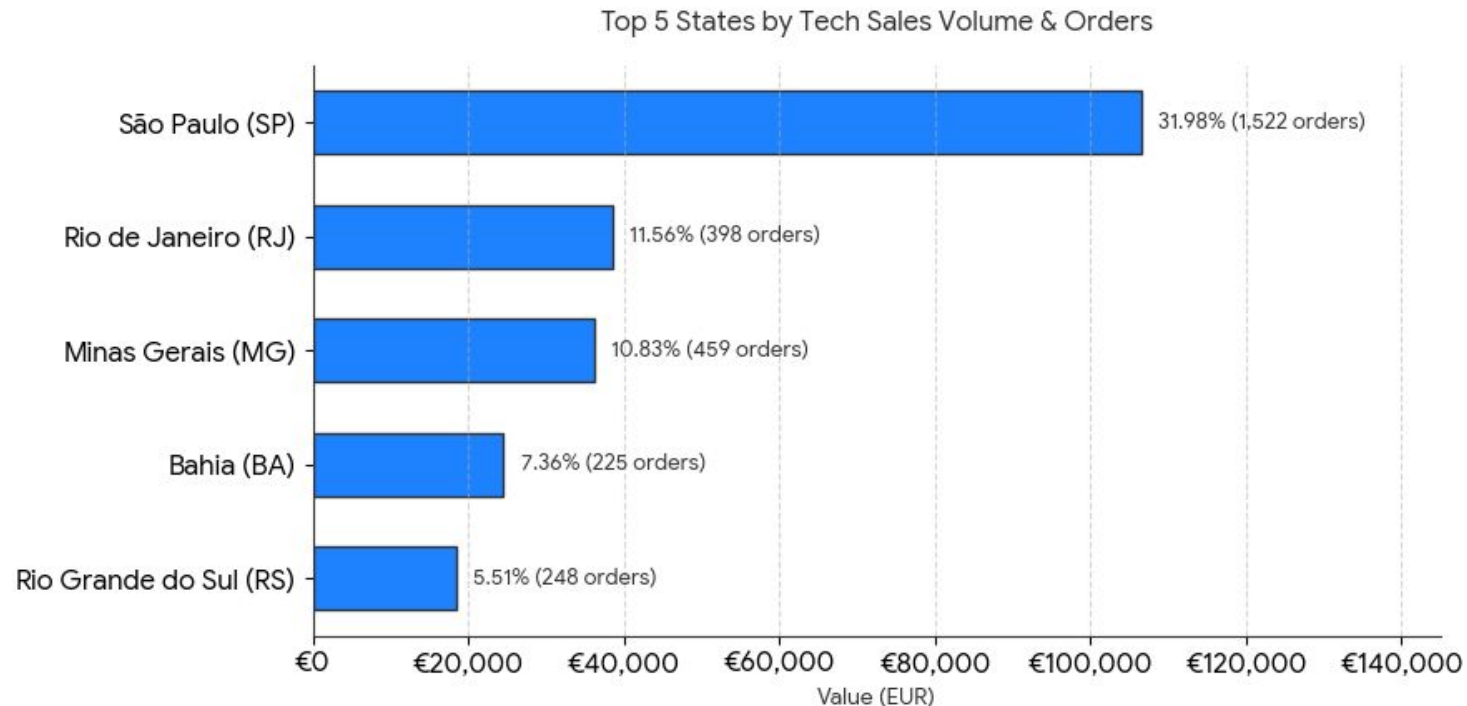
2018 slump context:
- BRR depreciation vs USD
- Tariff shock

In 2019 a recovery is expected.

Magist as a gateway to Brazil.

- **Magist's infrastructure:** OMS SaaS for the local market, integrated warehousing and fulfillment.
- **Category Sales volume (phones, tablets):** €333,381 in 2016-2018 (2% of Magist's revenue).
- **Geo:** 66% of the sales are concentrated in the 5 coastal states (in line with the general market structure).

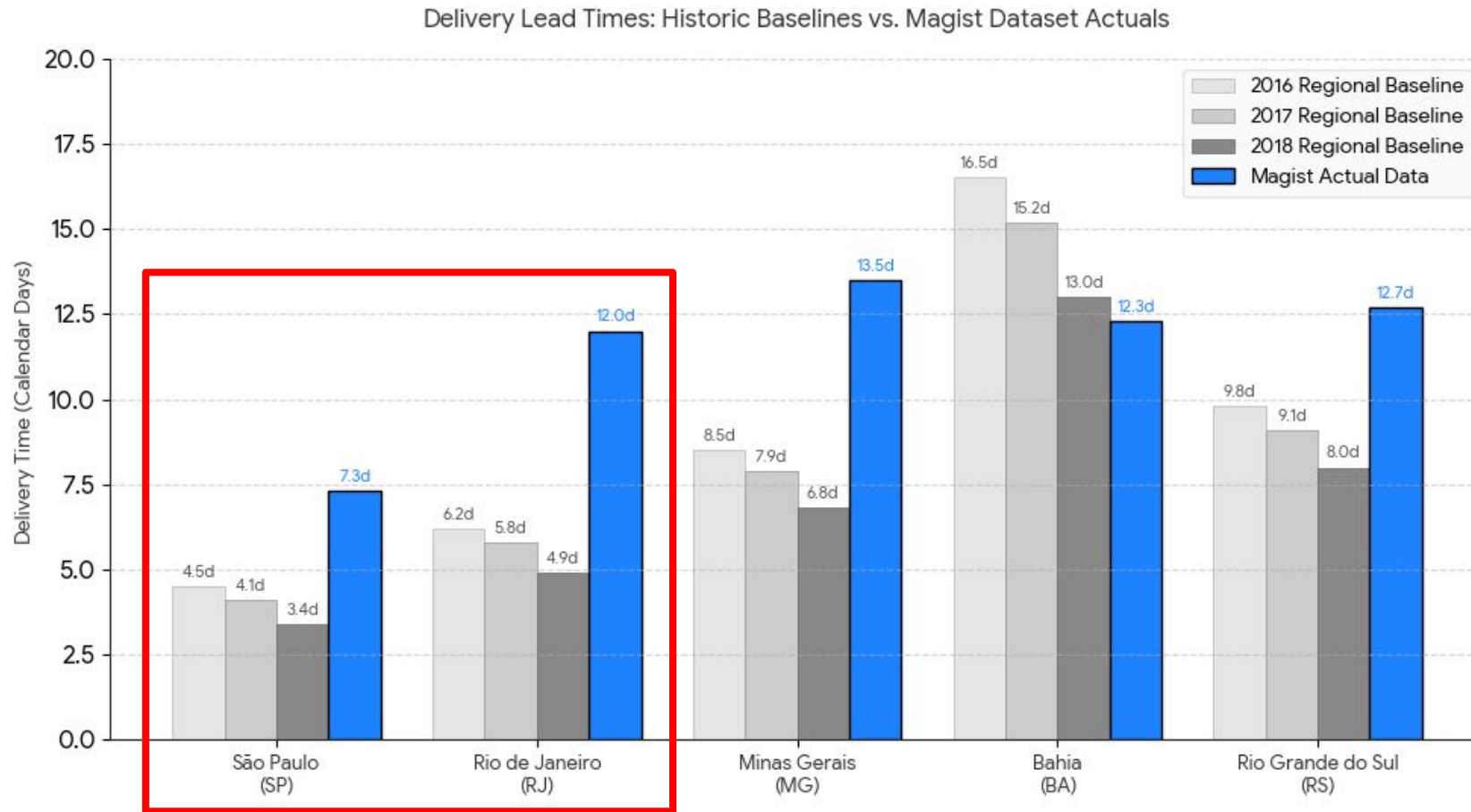
THE SALES CONCENTRATE IN THESE 5 BRAZILIAN STATES



Delivery Lead Times

! Risk: Magist's delivery is slow in the target geographies, especially in SP and RJ (key markets).

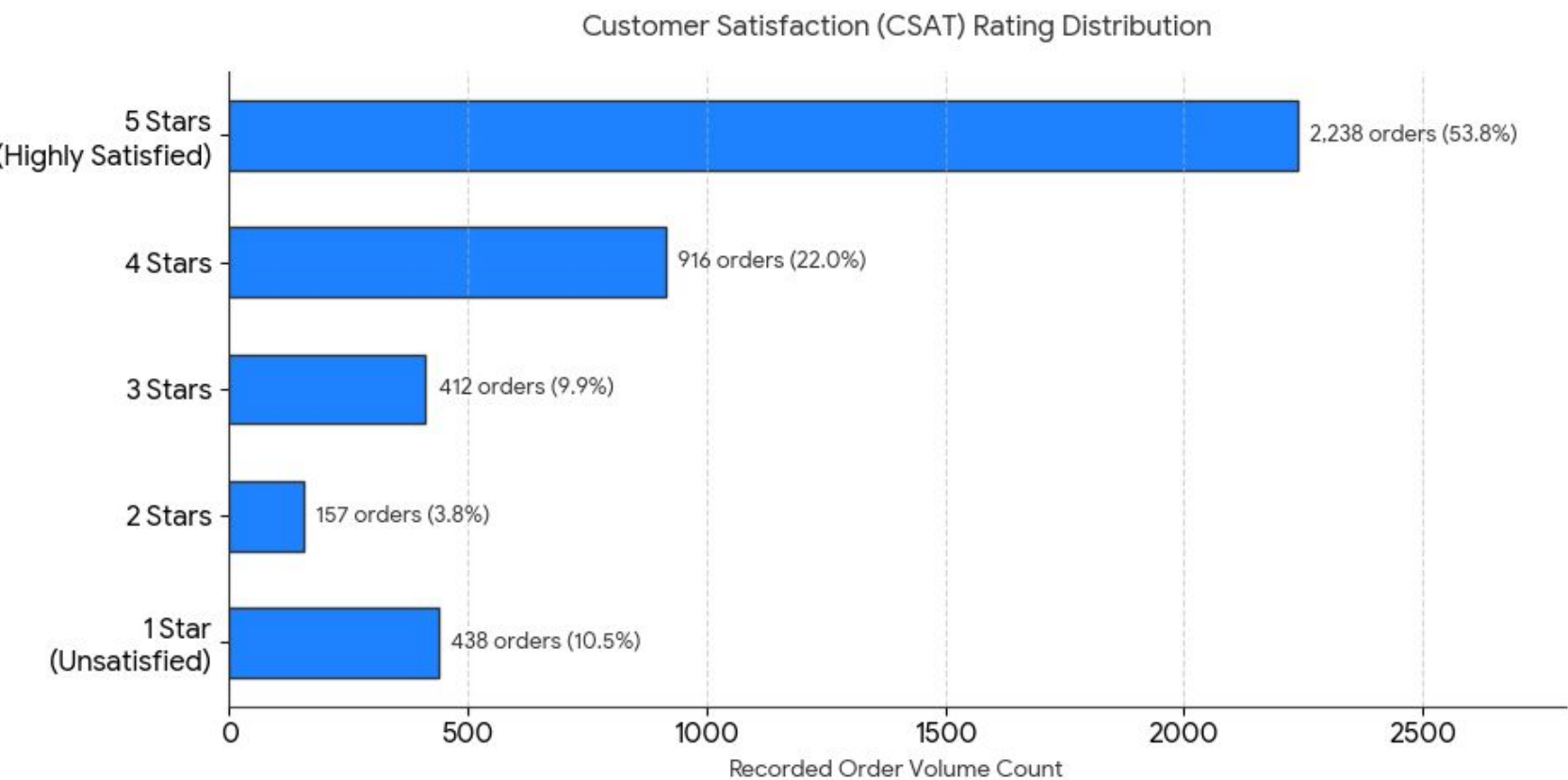
AVERAGE LEAD TIME BY STATE (IN CALENDAR DAYS)



Quality Check: Phone & Tablet Category CSAT

- **CSAT:** Despite the lead times, CSAT is 75.8% (“Good”), in line with market benchmarks *
- **Weighted Metric Average:** 4.05 out of 5.0 Stars calculated for 4,161 total orders (“Good”) **

MAGIST SNAPSHOT USER REVIEW DISTRIBUTION SCORE BREAKDOWN



Industry Benchmarks

- * CSAT % (4-5 Stars):
 - >80% = Elite
 - >70% = Good (75.8% Actual)
 - <70% = Action Required

- ** Weighted Average (out of 5.0):
 - >4.20 = Elite
 - >3.80 = Good (4.05 Actual)
 - <3.80 = Action Required

Proposal: Pilot via Magist (1-2 years)

1. General recommendation

Proceed and enter the market to capitalize on the projected economic recovery.

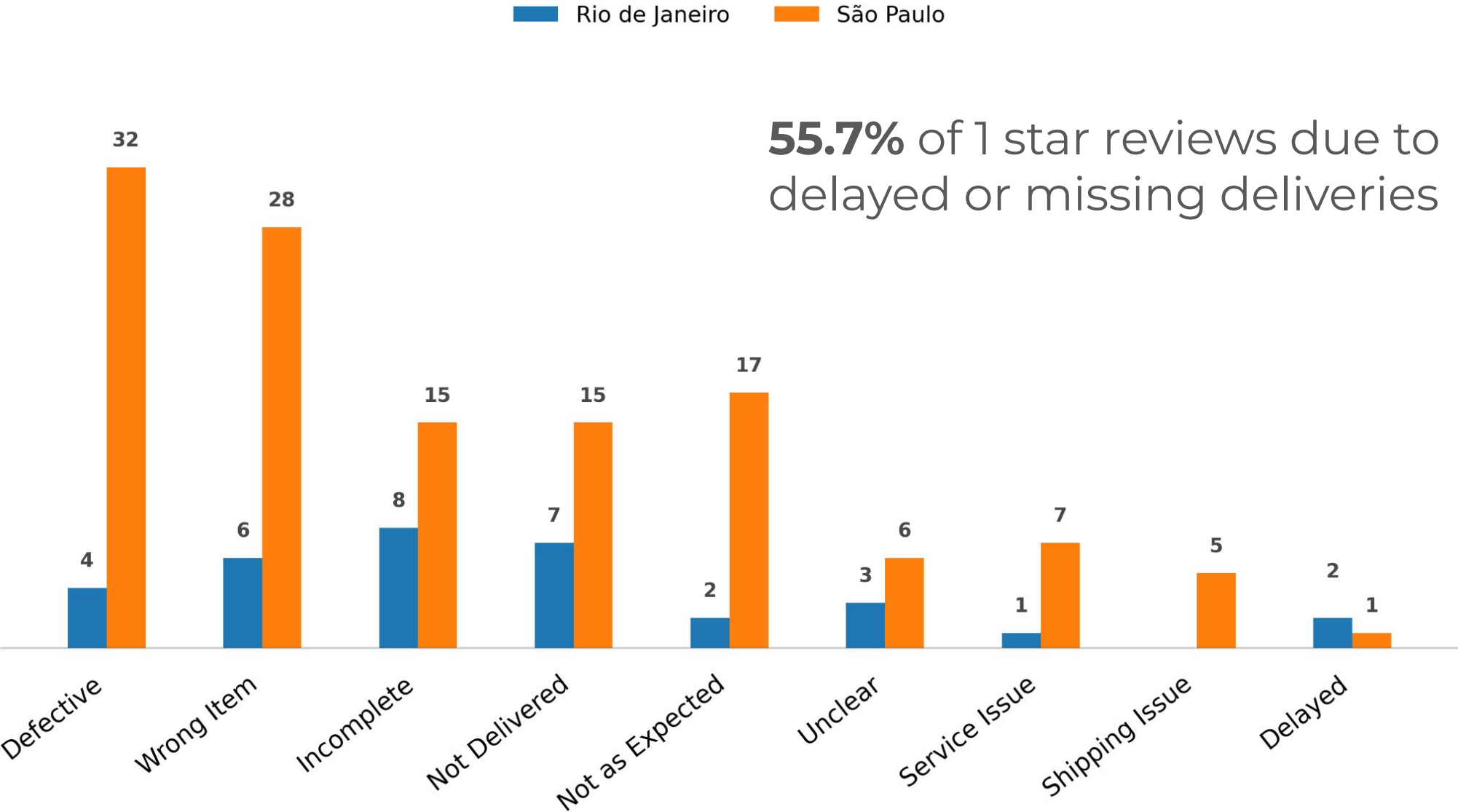
2. Risk mitigation

- Timeboxing - a pilot for 1-2 years to test the partnership with Magist
- Geographical focus - narrow down the service area to 5 key states at first

3. Next steps

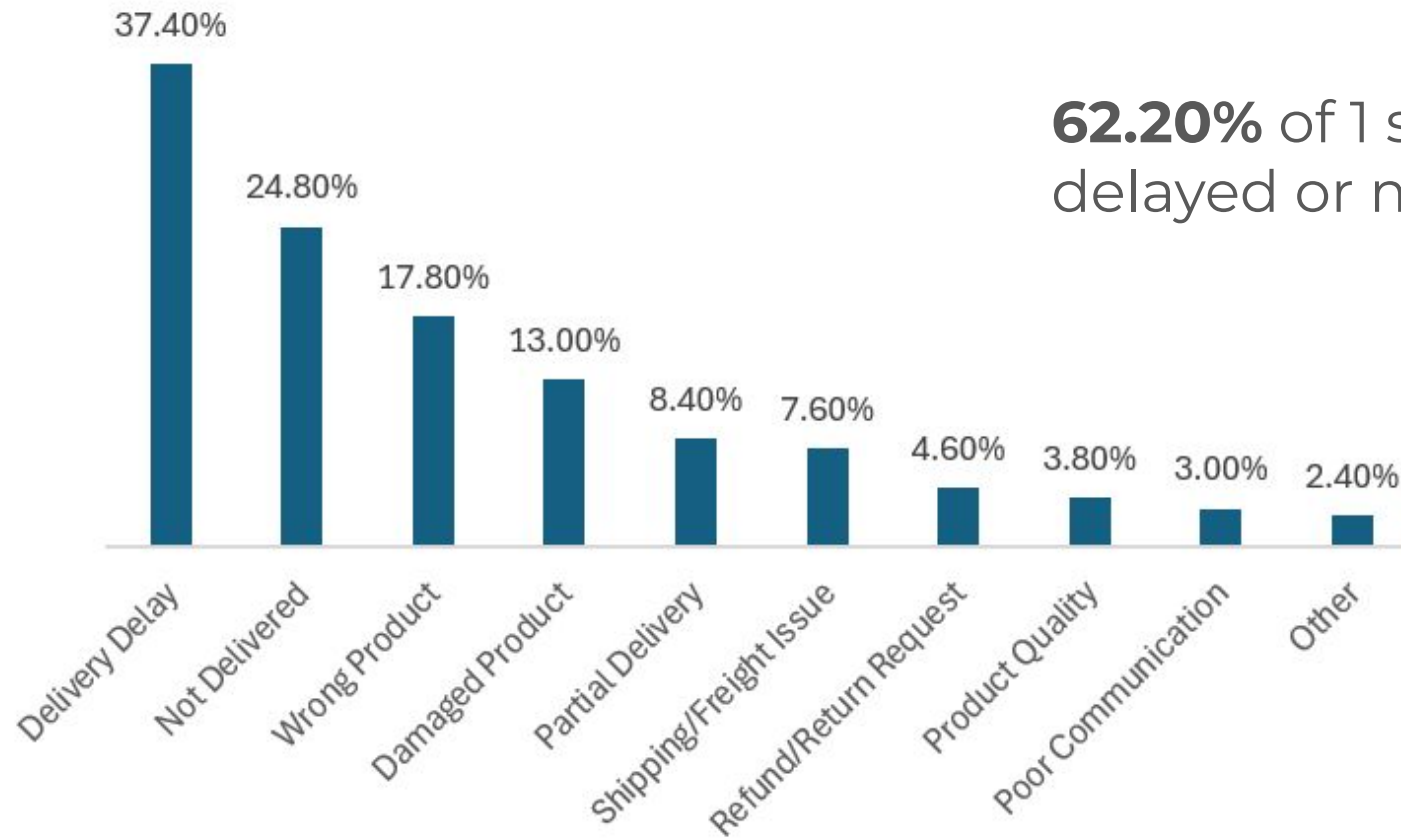
- Establish category focus - narrow down which value segment we will target (mid-range or premium)
- Analyze the payments structures to understand how tech purchases are made by consumers
- Prepare the detailed pilot proposal

Annex



1 star review reasons

1. Delivery delay or failure to deliver
2. Wrong product / damaged product
3. Partial delivery



62.20% of 1 star reviews due to delayed or missing deliveries

Market Structure, Customer Behaviour & Delivery Performance



Brazil is Latin America's largest e-commerce market with

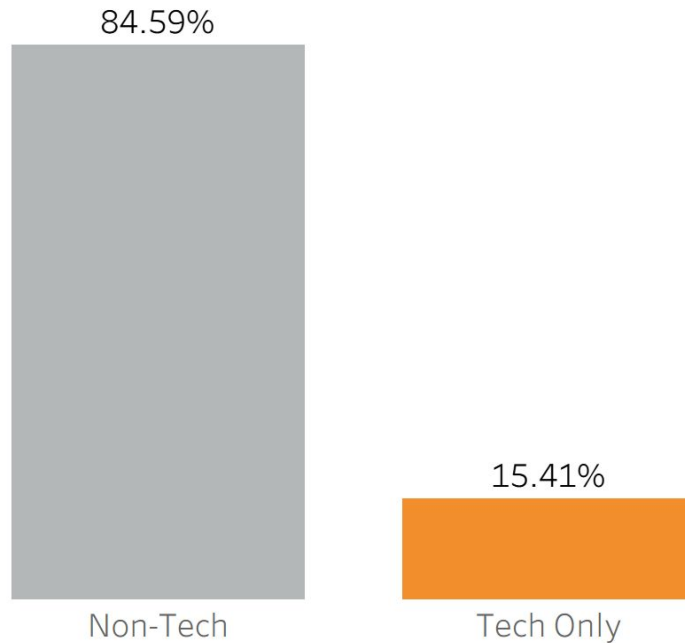
US\$14.6B annual sales

and a annual growth of **12%**

The opportunity is not whether Brazil will continue to grow—but how **quickly** we can **establish** a **presence**.

Recommendation: Partner with **Magist** to accelerate market entry and reduce operational complexity.

Tech products account for over **16,000 orders** on Magist ...

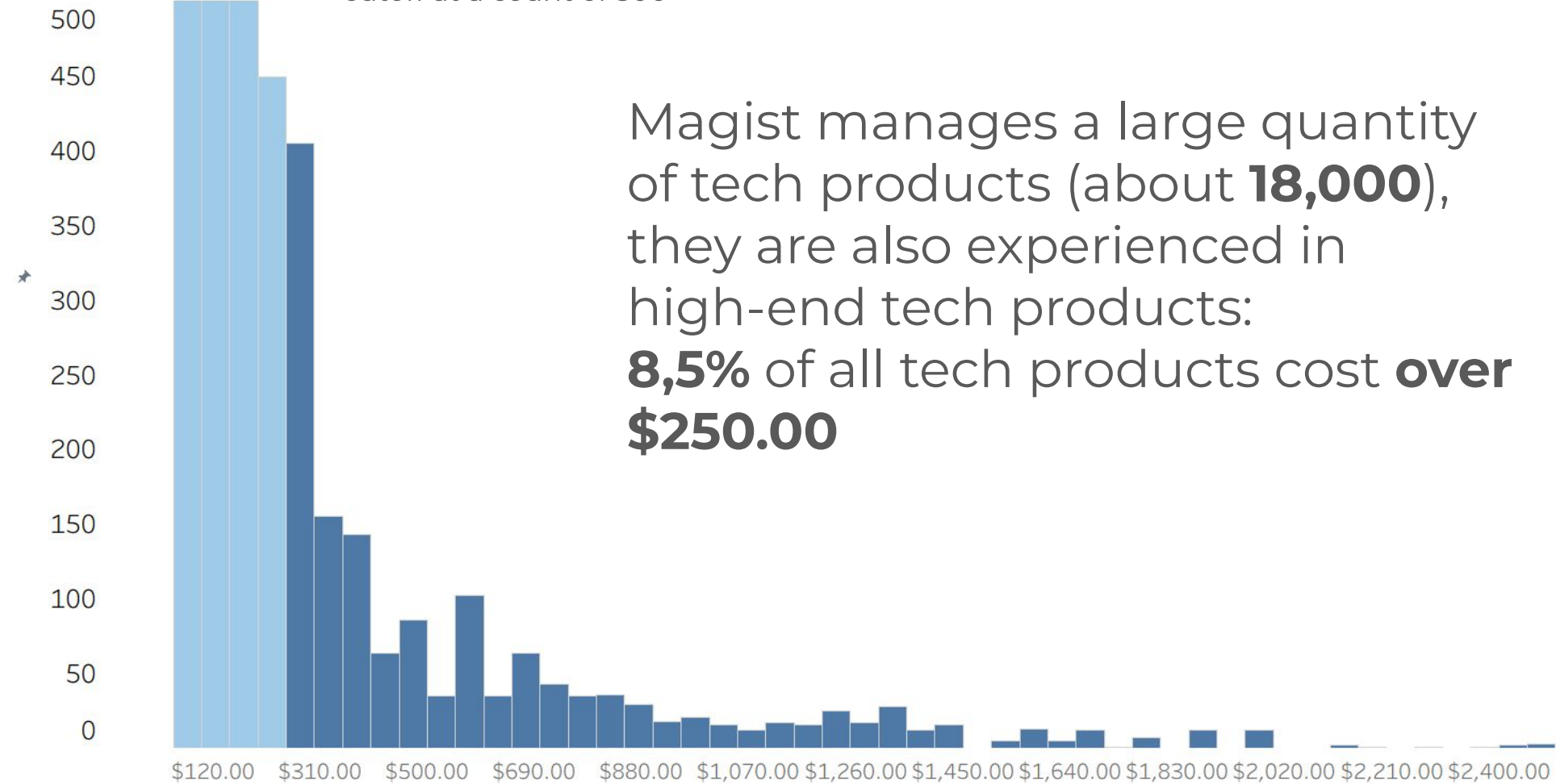


...and make up about **1/6**
of their total revenue.

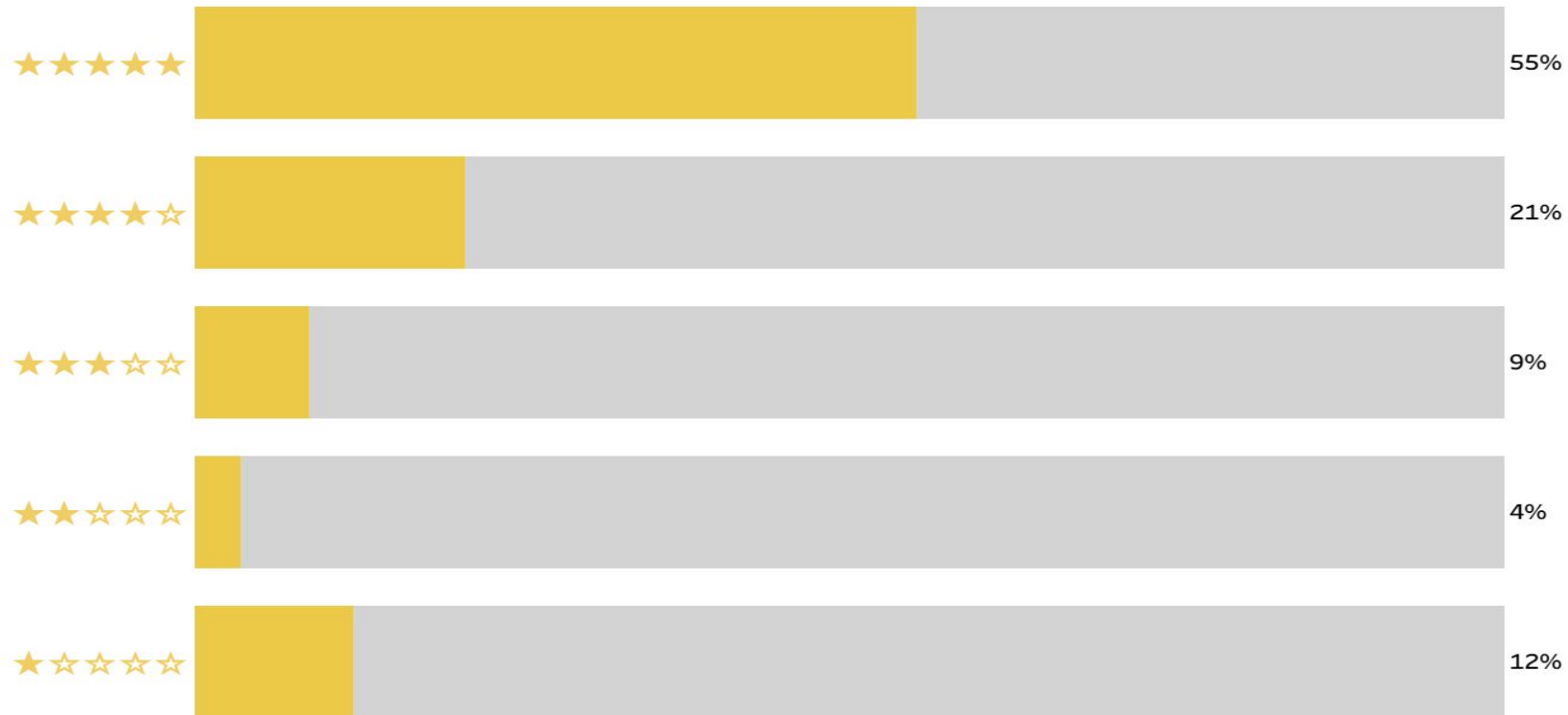
Magist already serves a sizeable technology segment, supporting its suitability as a market-entry partner.

Price distribution

* cutoff at a count of 500



Customer Review Score(Tech products)



76% of all tech related reviews are **higher than 4 stars**.
12% are only 1 star.

delivery times,
average, in comp to average
times in Brazil

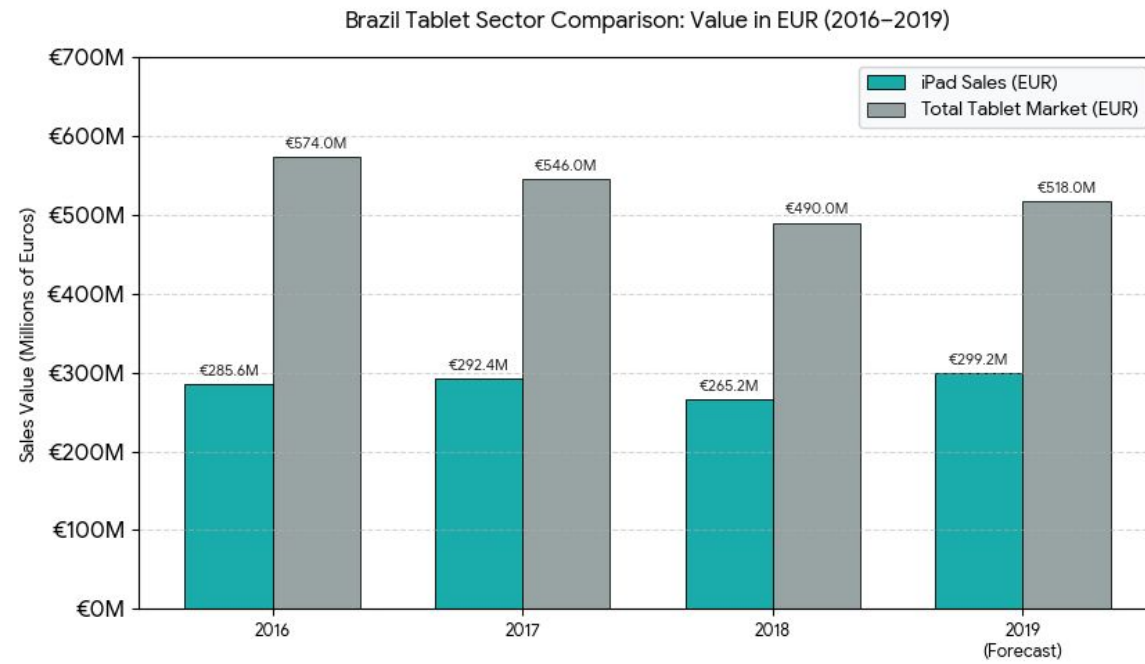
Brazil is ready.
ENIAC is ready.

Magist is...

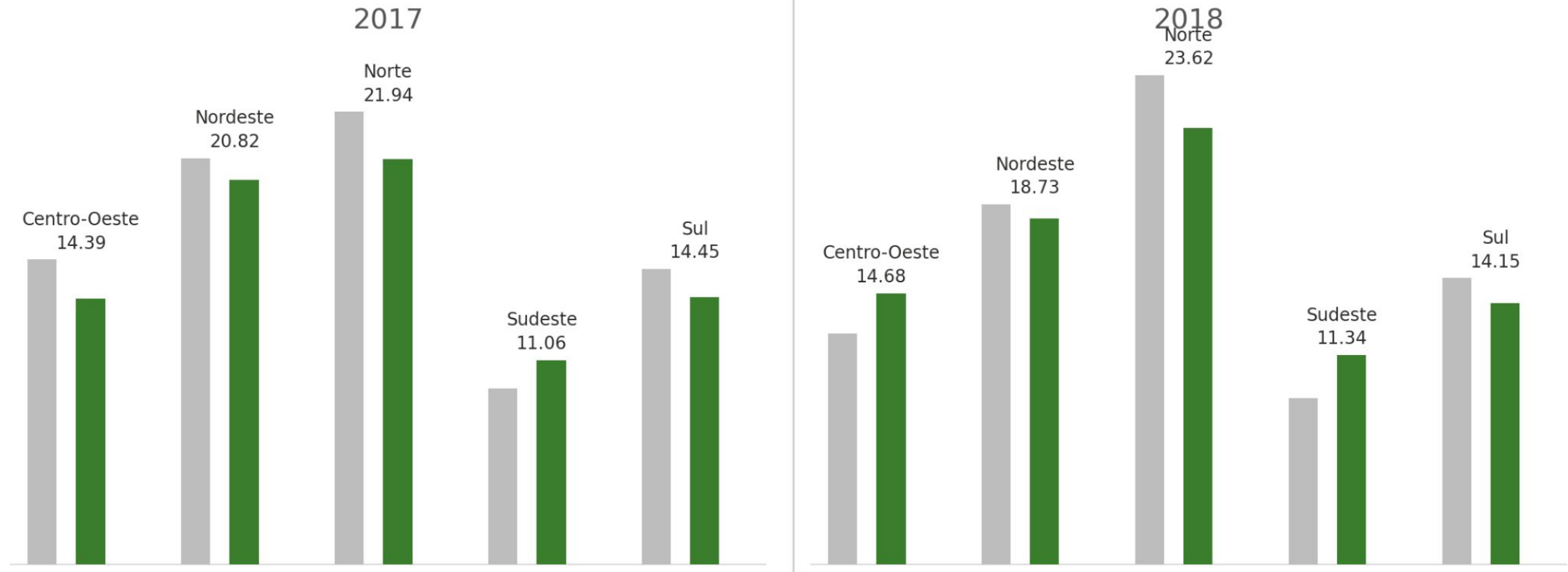
- **Experienced in selling technology products**, with over 16,000 tech-related orders in the dataset
- **Serving an established customer base** for consumer electronics and accessories
- **Capable of efficient fulfillment**, with delivery performance for tech products meeting customer expectations
- **Maintaining strong customer satisfaction**, reflected in consistently positive review scores

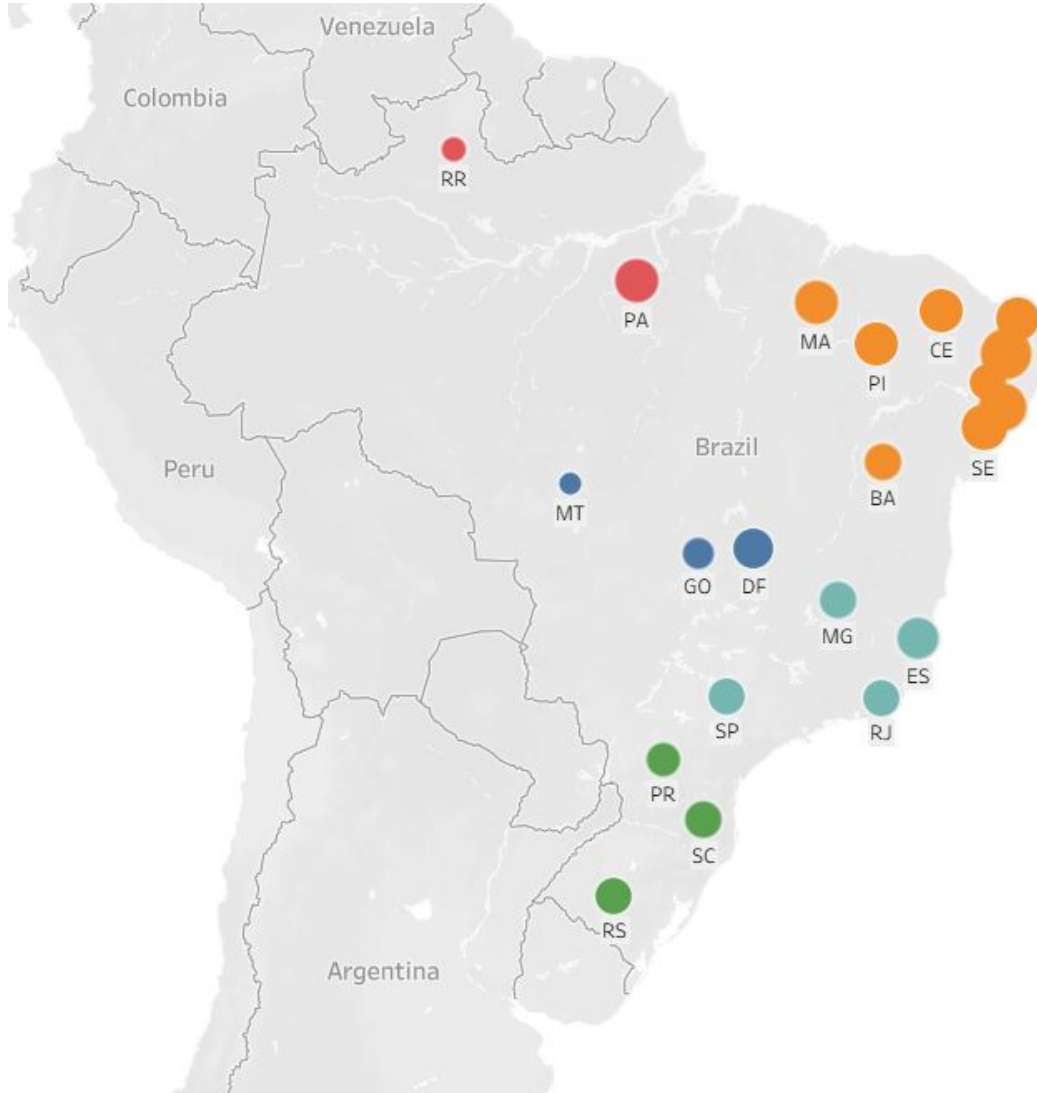
Recommendation: Partner with **Magist** to enter Brazil quickly and at low risk. Include prioritized deliveries for ENIAC in the contract to achieve better customer satisfaction.

iPad sales graph

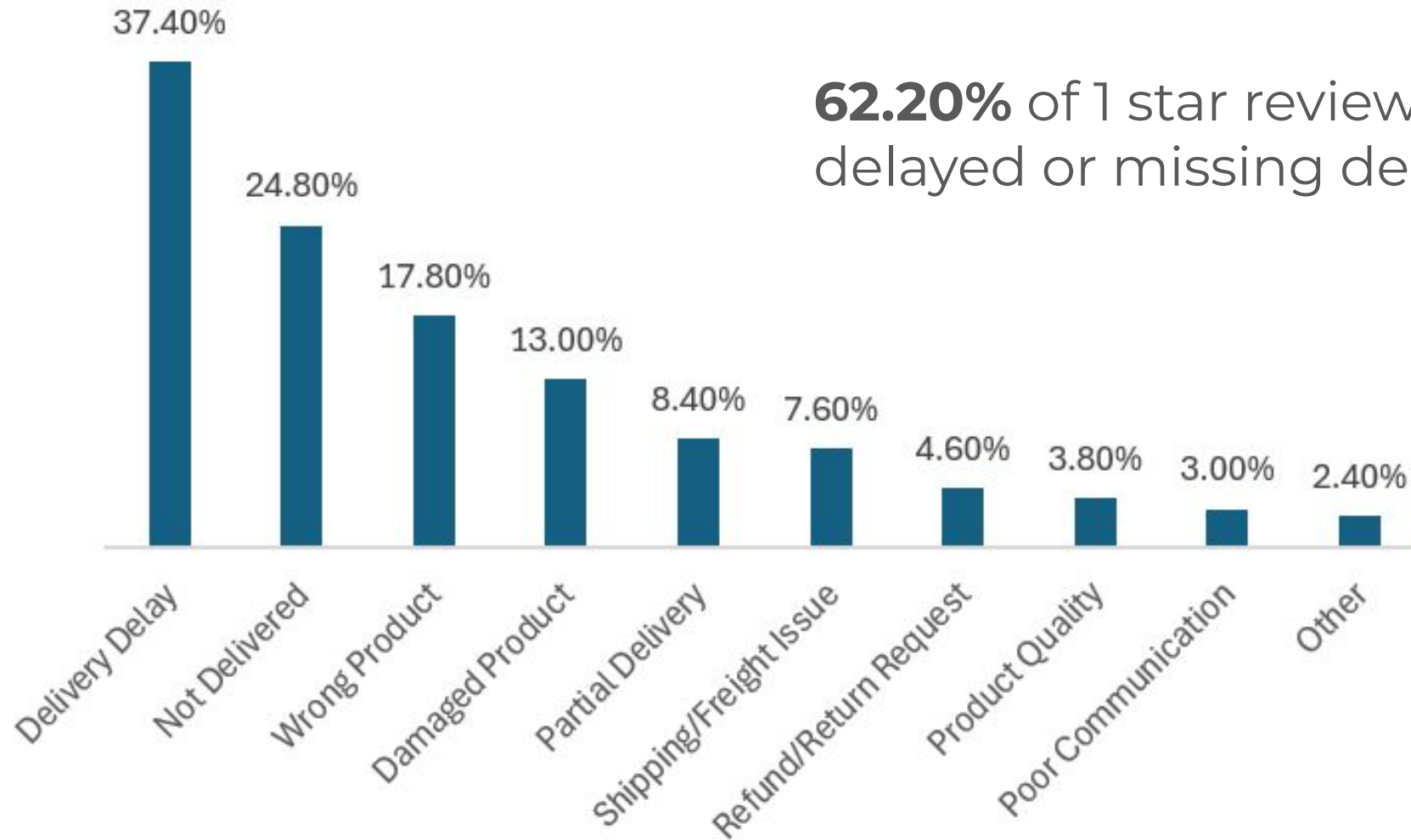


North and Northeast regions drive delivery lead time overruns.





Regional Delivery Lead Times shows a higher delay in the north-eastern regions



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